Personal Loan Policy and Product Guide

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1. Product Summary

The MNB Personal Loan is an unsecured term loan for salaried and self-employed individuals to meet needs such as medical expenses, travel, weddings, or home renovation.

Parameter	Salaried	Self-employed
Loan amount	INR 50,000 to INR 25,00,000	INR 1,00,000 to INR 15,00,000
Tenure	12 to 60 months	12 to 48 months
Interest rate (p.a., fixed)	10.99% to 16.50%	12.49% to 18.00%
Processing fee	1.50% of loan amount + GST (minimum INR 1,500)	2.00% of loan amount + GST (minimum INR 2,000)
Minimum age / maximum age at maturity	21 years / 60 years	25 years / 65 years
Minimum monthly income	INR 25,000 (metro), INR 20,000 (others)	Annual ITR income of at least INR 4,00,000

2. Eligibility and Credit Criteria

- Minimum CIBIL score of 700 for approval; scores between 650 and 699 are considered only with additional income proof and at an interest rate premium of 1.00%.
- Fixed Obligations to Income Ratio (FOIR) must not exceed 50% of net monthly income, including the proposed EMI.
- Salaried applicants must have at least 1 year of total work experience and 6 months with the current employer.
- Self-employed applicants must have at least 3 years of business continuity.

3. Documents Required

- Identity and address: Aadhaar, PAN, and one of passport, voter ID or driving licence.
- Income (salaried): last 3 months' salary slips and 6 months' bank statements.
- Income (self-employed): last 2 years' ITR with computation, and 12 months' bank statements.

4. Prepayment and Foreclosure

Part-prepayment is permitted after 6 EMIs, with a minimum part-payment of 2 EMIs and a charge of 2.00% of the prepaid principal. Foreclosure after 12 EMIs is permitted at 4.00% of the outstanding principal, which reduces to 3.00% after 24 EMIs and nil after 36 EMIs. For floating-rate loans to individual borrowers, no prepayment charge applies, as per RBI guidelines.

5. Late Payment and Default

A penal charge of 2.00% per month on the overdue EMI amount applies. An EMI bounce (cheque or NACH return) attracts a flat charge of INR 500 per instance. If the account remains overdue for 90 days, it is classified as a Non-Performing Asset (NPA) and recovery proceedings begin after a 30-day legal notice.

6. Disbursal Timeline

For existing MNB customers with pre-approved offers, disbursal occurs within 24 hours of acceptance. For all other applicants, the standard turnaround is 3 to 5 working days after submission of the complete documentation.